

- (volatile), corruption (in business and government)= lack of trust for domestic and foreign investors
- Oligarchs control most of the wealth



RUSSIA IN THE 21ST CENTURY

- Russia is now the 6th largest economy in the world
- The rise was due to high oil prices and a cheap ruble, along with important tax and banking reforms instituted by President Putin
- Poverty had declined and middle class was expanding
- Surpluses used to pay off debts and improve international financial position
- Concerns: raw materials are a large component of exports